

CHAPTER – 13

DIFFERENCES

DISTINCTION BETWEEN CONTRACT AND AGREEMENT

BASIS	CONTRACT	AGREEMENT
Meaning	A contract is an agreement enforceable by law.	Every promise or every set of promises forming consideration for each other is an agreement
Enforceability	Every contract is enforceable	Every agreement is not enforceable
Interrelationship	A contract includes an agreement.	An agreement does not include a contract
Scope	The scope of a contract is limited, as it includes only commercial agreements	Its scope is relatively wider, as it includes both social agreement and commercial agreements
Legal Obligation	Every contract contains a legal obligation	It is not necessary for every agreement to have legal obligation.

DISTINCTION BETWEEN VOID AGREEMENT AND VOIDABLE CONTRACT

Basis	Void contract	Voidable contract
Definition	It means contract which Cease to be enforceable.	It means an agreement Enforceable by law by one or more parties.
Nature	Valid when made but subsequently becomes unenforceable.	It remains voidable until cancelled by party.
Rights or remedy	No legal remedy.	Aggrieved party has remedy To cancel the contract.
Performance of contract	Party can't demand performance of contract	If aggrieved party does not cancel it within reasonable time, performance
Reason	Due to change in law or Circumstances	If consent is not obtained Freely.
Damages	Not available	Can demand in certain cases.

DISTINCTION BETWEEN VOID AGREEMENT AND ILLEGAL AGREEMENT

VOID AGREEMENT	ILLEGAL AGREEMENT
Not enforceable by Law	Forbidden by any law
All Void agreements are not illegal	All illegal agreements are void
Parties are not liable to punished	Parties are criminally liable

DISTINCTION BETWEEN WAGERING AGREEMENT AND CONTINGENT AGREEMENT

Basis	Wagering agreement	Contingent agreement
Meaning	Promise to give money or money's worth upon the determinative of an uncertain event.	To do or not to do something if some event. Collateral to such contract does or does not happen.
Nature	Contingent nature	Not be a wagering nature.
Validity of Agreement	Void	Valid
Interest	No other interest in the subject matter of the agreement except within of loss of wagering amount.	Have real interest outcome of the uncertain gain.
Reciprocal Promise	Consists of reciprocal promises	Not consist a reciprocal promise
Future Event	future event is the sole determine factor	future event is fully collateral.